Redistributive Politics under Spatial Inequality

Andreas Wiedemann, Princeton University

Most research on redistributive politics has neglected the spatial concentration of rising inequality and its consequences on political preferences and electoral politics. In this article, I argue that the geographic distribution of inequality undermines the political logic of redistribution when elections are held under plurality rule. When inequality in the median electoral district is lower than in the nation as a whole, demand for redistributive policies and voting for left-leaning parties is concentrated in a few districts. This limits the legislative power left parties can amass while disincentivizing left parties from offering proredistributive platforms. I provide empirical evidence to support my argument using cross-national data on regional inequalities, local-level administrative and geocoded survey data from the United Kingdom, and comparative manifesto data. The findings offer a new explanation of why rising inequality has not led to more redistribution, which suggests that political geography can weaken political responses to inequality and electoral representation.

Income inequality has grown in many rich democracies and threatens social cohesion and fuels political polarization (McCarty, Poole, and Rosenthal 2006; Piketty 2014). Most of the spotlight has been cast on national-level interpersonal inequality—most notably the rise of the top 1%—while much less attention has been paid to the spatial distribution of inequality within countries. Such interregional inequalities have grown in many countries, often along urban-rural cleavages and driven by agglomeration effects of the modern knowledge economy (Ansell and Gingrich 2021; Iversen and Soskice 2019; Rodden 2019), and yet we know little about the implications for political responses to growing inequality.

In this article, I argue that geographically concentrated inequality undermines the political logic of redistribution when elections are held under plurality rule. Standard political economy models predict that rising inequality should lead to more redistribution (Meltzer and Richard 1981), but empirically we often observe that countries with high levels of inequality redistribute less. Scholars have developed behavioral, institutional, and structural explanations of what Lindert (2004) calls the Robin Hood Paradox. Some argue that policy makers' differential responsiveness to the preferences of the rich (Elsässer, Hense, and Schäfer 2021; Enns 2015; Gilens 2012), lower turnout and lower levels of information among the poor (Kuziemko et al. 2015; Peters and Ensink 2015), and biased beliefs about upward mobility or deservingness (Alesina, Stantcheva, and Teso 2018; Cavaillé and Trump 2015) undermine the link between inequality and redistribution.

Others have suggested that institutional and structural factors such as veto points, federalism, and electoral rules can explain cross-national differences. It is well known that countries with plurality rule and single-member districts tend to spend and redistribute less than those with proportional representation (PR) electoral regimes. One reason is that plurality-rule countries are more likely to produce center-right governments because the middle class faces lower taxes if a center-right party deviates to the right but higher taxes and redistribution to low-income groups if a center-left party deviates to the left. In PR countries with multiparty systems, by contrast, the middle class sides with the poor to form a center-left coalition that taxes the rich and redistributes more (Iversen and Soskice 2006). Class coalitions explain the degree of redistribution. An alternative explanation for higher spending and redistribution in PR countries with multiparty systems is that those countries are more likely to have fragmented party systems and, as a result, coalition governments. Coalitions devote more resources to programs favored by the parties represented in government because no single party fully internalizes the fiscal costs of spending (Persson, Roland, and Tabellini 2007).

Andreas Wiedemann (awiedemann@princeton.edu) is an assistant professor of politics and international affairs at Princeton University and the Princeton School of Public and International Affairs, Princeton, NJ 08540.

Replication files are available in the *JOP* Dataverse (https://dataverse.harvard.edu/dataverse/jop). The empirical analysis has been successfully replicated by the *JOP* replication analyst. An online appendix with supplementary material is available at https://doi.org/10.1086/729969.

Published online May 17, 2024.

The Journal of Politics, volume 86, number 3, July 2024. Published by The University of Chicago Press for the Southern Political Science Association. https://doi.org/10.1086/729969

These arguments rest on an important assumption: that society is divided into equal-sized and homogeneously distributed groups and that, since political parties represent their interests, these groups remain agnostic about the spatial distribution of voters and policy preferences. Recent work has documented that the spatial concentration of voters, in particular by class and income, matters for policy preferences (Beramendi 2012; Enos 2017; O'Grady and Wiedemann 2024; Rodden 2010; Warshaw and Rodden 2012) and political representation (Döring and Manow 2017; Jusko 2017). But we know little about the distribution of political preferences, electoral behaviors, and partisan strategies under spatial inequality and majoritarian electoral rule.

Combining insights from electoral geography with political economy models of redistributive politics and partisan strategies, I argue that when inequality is spatially concentrated, the median district is less unequal than the nation as a whole. This pattern undermines both the demand for and the supply of redistributive policies in majoritarian electoral systems for two reasons. First, while voters respond to higher levels of inequality by demanding more redistribution and by voting for left-wing parties, the spatial concentration of such voters in a small number of districts limits the extent to which their redistributive preferences and votes for left-leaning parties are translated into seats and political power. Second, political parties target the median voter while balancing the interests of their core partisan supporters and swing voters. Since the median voter in the median district is exposed to less inequality and, as a result—as I will show below—is less supportive of redistribution, left-wing parties choose more centrist and less redistributive platforms to appeal to the median district and to fend off competition from challenger parties even when spatial inequality is growing.

I present evidence to support my argument in three steps. I first draw on cross-sectional data on regional inequality for 25 Organization for Economic Cooperation and Development (OECD) countries to show that when inequality is geographically concentrated, plurality-rule countries distribute less to reduce inequality than PR countries with similar levels of spatially concentrated inequality. Second, I turn to the United Kingdom—a parliamentary democracy with majoritarian elections—to examine the relationship between the spatial distribution of inequality and redistributive politics under plurality rule. Using local-level administrative data, I document that income inequality is concentrated and growing in highly populated urban areas. As a result, inequality in the median constituency is considerably lower than in the nation as a whole. I analyze geocoded survey data from the 2014–20 British Election Study (BES) to show that spatially concentrated inequality limits the demand for redistributive policies to a few high-inequality constituencies. This effect is driven almost entirely by supporters of the Labour Party; supporters of the Conservative Party, or Tories, are virtually unresponsive to higher levels of inequality in their constituency.

These contextual and spatial dynamics have implications for electoral politics and left-wing political power. Across all four general elections held between 2010 and 2019, the above-median-inequality constituencies won by the Labour Party had a population density that was five times higher—and a considerably larger vote surplus—than similarly unequal constituencies won by members of the Conservative Party. But the spatial concentration of inequality severely constrains the extent to which demands for redistribution and voting for leftist parties translate into political power under plurality rule: the Labour Party won significantly fewer seats—only about one-third of all above-median-inequality constituencies, on average—than the Conservative Party.

Finally, I examine how political parties' platforms respond to changes in regional inequality in different types of electoral regimes using comparative party manifesto data. I find that when regional inequality is growing, left-wing party platforms more strongly support redistribution in countries with PR electoral systems but do not change their policy stance on welfare in countries with plurality electoral regimes. Since their key electoral target, the median district, is less unequal than the nation as a whole, left-wing parties under plurality rule have few incentives to become more proredistribution.

This article contributes to work on political geography, inequality, and redistribution in two important ways. First, by integrating political and economic geography into models of comparative political economy, it proposes a new explanation of why countries with majoritarian electoral regimes redistribute less in response to inequality than those with PR systems. In contrast to explanations that focus on class coalitions within the electorate (Iversen and Soskice 2006) or fiscal negotiations in coalition governments (Persson et al. 2007), this article demonstrates that the spatial distribution of inequality and preferences undermines the political logic of redistribution in plurality countries such as the United Kingdom by (i) constraining demands for redistribution and support for left-wing parties and (ii) limiting left-wing parties' strategic incentives to run on proredistributive platforms. Second, the article advances work on how contextual effects and local exposure to income inequality influence political preferences and electoral behavior. Evidence of voters' responses to changing levels of inequality is mixed; some studies report positive and others negative effects (Franko 2016; Kelly and Enns 2010; Schmidt-Catran 2016). This article suggests that different conceptualizations of inequality could be driving these inconclusive findings. It adds a comparative perspective to recent work in the US context that suggests that local levels of inequality are associated with stronger demands for redistribution and more liberal policies (Minkoff and Lyons 2019; Newman 2020), highlighting the importance of interregional and local-level (rather than interpersonal) inequality. The relevant metric for inequality for voters' perceptions and politicians' electoral strategies is thus not necessarily the nation; it may well be the constituency or region. As local economic contexts shape individuals' political preferences and electoral behavior, the spatial distribution of inequality and the growing urban-rural divides in the knowledge economy make policy responses to address inequalities more difficult under plurality rule.

SPATIAL INEQUALITY AND REDISTRIBUTIVE POLITICS

Most research on redistributive politics has focused on inequalities across people, including work documenting the rise of the top 1% (e.g., Piketty 2014). This interpersonal inequality perspective is fundamental to political economy models of redistributive preferences that predict greater demand for redistribution when inequality is rising and, therefore, a reduction in posttax inequality (Meltzer and Richard 1981; Romer 1975). Yet there is little (and often contradictory) empirical support for these claims.[1] Rich democracies with high levels of inequality tend to redistribute less, while more equal countries tend to redistribute more. There are several explanations for this Robin Hood Paradox. Power resource theory suggests that cross-national variation in the strength of unions and left-wing parties shapes pretax inequality through earnings compression and social investment policies and posttax inequality through redistributive policies (Huber and Stephens 2001; Morel, Palier, and Palme 2012). Others have argued that the one-dimensional focus of the Meltzer-Richard model on the tax rate and fiscal redistribution ignores other salient facets: the welfare state's social insurance dimension implies that higher-income earners demand more social protection (Moene and Wallerstein 2001); beliefs about upward mobility and deservingness could undermine support for redistribution even if inequality is growing (Alesina et al. 2018; Cavaillé and Trump 2015). Still others have suggested that rising inequality may not lead to more redistribution because of differences in turnout between low- and high-income voters (Gallego 2015; Leighley 2013), the differential responsiveness of policy makers who are more attentive to the preferences of the rich than those of the poor (Elsässer et al. 2021; Enns 2015; Gilens 2012), and lower levels of information (as well as misinformation about inequality) among the poor (Elkjær and Iversen 2020; Kuziemko et al. 2015)—all of which could undermine the link between low-income voters' demand for redistributive policies and policy outcomes.

An influential literature maintains that political institutions and electoral rules help explain cross-national variation in the relationship between inequality and redistributive policies. Iversen and Soskice (2006) argue that in countries with multiparty PR regimes, the center party is more likely to electorally align with a leftist than a rightist party and to form a left-leaning coalition government that taxes the rich, redistributes more, and therefore reduces posttax inequality. By contrast, countries with plurality rule are more likely to be governed by a center-right single-party government that redistributes less; the middle class votes for the center-right party since taxation would be higher under a center-left party. Persson et al. (2007) alternatively argue that redistribution is higher under PR not because of class coalition dynamics but because PR rule promotes fragmented party systems and coalition governments in which each party aims to increase spending on programs it favors without fully internalizing the fiscal costs.

By focusing on interpersonal (i.e., national-level) inequalities, these arguments share the assumption that society is divided into equal-sized and homogeneously distributed groups, and that political parties represent the groups' shared interests. However, I demonstrate that ignoring electoral and economic geography masks a crucial reason why inequality has not led to higher levels of redistribution. Combining insights from electoral geography with political economy models of redistributive politics, I argue that the spatial distribution of inequality can undermine the political logic of redistribution. In countries where inequality is geographically concentrated and elections are held under plurality rule with single-member districts, the electorally relevant median district is less unequal than the nation as a whole. This feature undermines popular support for redistribution and voting for left-wing parties. It also weakens parties' incentives to develop policy platforms that favor redistributive policies.

In many—although not all—countries, interregional inequalities have grown as well. For example, the United States has experienced a considerable divergence of incomes across states over the past decade (Ganong and Shoag 2017). The United Kingdom has one of the highest levels of regional inequality in the OECD (McCann 2020). The growing rifts between urban cores of the knowledge economy and "left-behind" areas are politically consequential: they have been identified as important drivers of populism and resentment, the vote for Brexit and the rise of Trump, and the polarization of policy preferences (Broz, Frieden, and Weymouth 2021; Cramer 2016; McKee 2008; Rodríguez-Pose 2018). In many countries, urban voters with cosmopolitan values are loyal supporters of left-wing parties, while those in rural areas are

1. See Kenworthy and Pontusson (2005). On the importance of the structure of inequality, see Lupu and Pontusson (2011).

more likely to vote for conservative parties (Gimpel et al. 2020; Maxwell 2019; Rodden 2019).

But we know little about the political consequences of the spatial distribution of inequality—or how it affects redistributive politics across countries. To fully understand why some countries redistribute more than others in response to rising inequality, we must take into account economic and political geography. In the following sections, I develop my argument that the spatial concentration of inequality undermines redistributive politics under plurality rule by shaping voters' demands for redistribution and electoral support for left-wing parties as well as parties' strategic policy positions.

Local inequality and preferences for redistribution

The first implication of spatially concentrated inequality is that support for redistributive policies and leftist parties is concentrated in areas with high levels of inequality. The causes for locality-specific political preferences and behavior are hotly debated. They may arise because of either contextual effects (i.e., living in a certain area and being exposed to particular socioeconomic conditions and groups influences individuals' preferences and behavior) or composition or selection effects (i.e., individuals self-select into specific localities, creating communities of like-minded people; Gallego et al. 2016; Maxwell 2019).

Regardless of the causes, there are at least three reasons why local socioeconomic conditions and contextual effects, including exposure to inequality, shape people's policy preferences and electoral behavior. First, people become attached to where they live, which creates and defines a politically relevant group (Johnston et al. 2000). For example, social psychology research has documented that, on average, people care more about those who live close by than those who are farther away (Tajfel et al. 1971). People develop context-specific attitudes through interpersonal interactions, persuasion, and political socialization (Beck et al. 2002). The second reason is that the objective local context and its characteristics create subjective perceptions of place. Such "geotropic" considerations (Reeves and Gimpel 2012) about local economic factors and specific socioeconomic groups and their (perceived) interests in turn shape evaluations of the economy and influence policy preferences and vote choice (Cutler 2007; Ebeid and Rodden 2006). Newman, Johnston, and Lown (2015), for example, show that in highly unequal counties in the United States, low-income residents are more likely to reject notions of meritocracy, while high-income residents support this ideal. Finally, economic inequality is an abstract concept that people perceive concretely through personal experience, salience, and social comparison. Voters are more aware of local levels of inequality (Newman, Shah, and Lauterbach 2018), in part because local cues are easier to observe and process than national-level statistics (Cho and Rudolph 2008). By providing information about the extent of inequality and highlighting status differences, local exposure to inequality increases support for redistribution (Sands and de Kadt 2020). Franko (2016), for example, demonstrates that growing state-level income inequality is associated with a more liberal policy mood among state voters. Similarly, Minkoff and Lyons (2019) illustrate that people who live in unequal localities are more likely to perceive a large income gap and to believe it should be reduced. Together, these reasons suggest that people who reside in high-inequality localities should be more supportive of redistribution.

Electoral rules amplify the effect of spatial inequality on preference formation and vote choice (Rodden 2010, 2019). When inequality is spatially concentrated, the median district is less unequal than the nation as whole. Under plurality rule, this pattern undermines the link between inequality and redistribution because it concentrates support for redistribution and vote choice among left-leaning parties in a few districts. If population density and vote margins are high enough in these districts that votes and preferences are "inefficiently" distributed from the perspective of leftist parties, a proredistribution coalition can garner only a limited number of seats and accumulate only a modest amount of political power.

Party policy positions and strategies

The second implication of spatially concentrated inequality under plurality rule is that political parties adopt less redistributive party platforms. In an environment of competitive elections over programmatic policy choices, parties must balance the interests of their core partisan constituents with potential swing voters in median districts when they decide how much to emphasize redistribution in their electoral manifestos. The dominant parties will face a trade-off between moving closer together in the preference space to increase votes and moving further apart to avoid entry by a third-party challenger. If a candidate moves too far away from the constituency median, she risks losing votes to the main competitor from the other party or entry of a third-party candidate (Besley and Preston 2007). In extreme cases in which a district is too far away from the national party's average position such that a candidate could no longer credibly run under the party label, the party may consider surrendering the district to a third-party candidate.

Under plurality rule, parties have a greater incentive to provide targeted pork barrel spending to increase their chances of staying in office, while PR rule encourages politicians to spend more on universalist programs (Catalinac and Motolinia 2021; Chang 2008; Rickard 2018). Jusko (2017) documents that the distribution of low-income voters across electoral districts influences politicians' incentives to enact policies that are in their interests. Jurado and León (2019) similarly demonstrate that parties in majoritarian countries are more responsive to social policy recipients when they are geographically concentrated because beneficiaries become pivotal voters in a given district, which increases the potential electoral rewards of courting them and helps politicians coordinate their electoral strategies.

The median voter in the median district is the relevant electoral target for all parties competing under plurality rule in single-member district elections, as long as political candidates are responsive to the preferences of the constituency they are hoping to win. This is an important distinction from spatial voting models, which typically treat candidate competition in a single district the same way as party competition in a national election. These models assume that either the distribution of voter preferences is identical across districts or the distribution of individuals and their preferences mirrors the distribution of district medians (Rodden 2010). My argument incorporates differences in the geographical distribution of voter preferences and, as a result, political candidates running for a seat in different districts. These electoral dynamics follow work by Ansolabehere, Leblanc, and Snyder (2012) and Snyder (1994), who argue that national party platforms in plurality-rule countries are the aggregation of the policy positions of individual candidates and incumbents who care primarily about securing their own election.[2] Since the median voter in the median district is exposed to lower levels of inequality, and is therefore less supportive of redistribution as I will show below, left-wing parties choose more centrist and less redistributive platforms to appeal to this median voter and to fend off competition from third-party challengers even when regional inequality is increasing. If inequality and voters' ensuing demands for redistribution are clustered in space, left-wing political parties have few electoral incentives to promote broad, national redistributive programs when elections are held under plurality rule.

Defining and measuring "local"

The choice of the relevant contextual unit and its boundaries is an important and unresolved question. Some contextual effects may play out in smaller geographic areas, while others may unfold in larger ones such as counties or regions. I argue that for a locality to matter for political preferences and electoral behavior, it must be a relevant and salient boundary, have substantively important variation in the contextual variable, and be meaningful to voters to shape their "lived experience" and political attitudes. In this article, I rely on two measures of locality: regions in the cross-country comparative analyses and constituencies in the UK case. Regions—as the first level of subnational government—as well as constituencies are politically relevant units that provide focal points for voters and politicians. Regions are large enough areas that residents are aware of economic inequalities. Voters perceive economic inequalities between and within cities, towns, or suburbs on the basis of their personal experience, salience, and social comparisons across geographies. Growing regional inequality has become a salient feature in newspaper coverage and policy debates and has prompted high-level policy responses such as the UK government's "leveling up" plan to address regional inequalities.

Constituencies and their levels of inequality are particularly relevant for preference formation and vote choice. Politicians running for office reference socioeconomic conditions in their constituency to garner votes, highlighting inequalities and deprivation within the constituency while also anchoring people's experience of and exposure to inequality to the constituency. For example, the Labour Party's candidate Emma Dent Coad won the seat in Kensington—the most unequal constituency in the United Kingdom—in the 2017 general election on a platform that shed the spotlight on extreme levels of inequality in the constituency and promised political remedies (Booth 2017). Constituencies are particularly salient boundaries for residents during election periods, when people may be more likely to think about government policies that could address inequality and may cast votes with constituency-level issues in mind. For example, Koch et al. (2021) draw on case studies to show that residents in more unequal cities in the United Kingdom are aware of local inequalities and connect them to government policies.

Prior work has used various boundary definitions ranging from regions and metro areas to constituencies to study the effect of contextual variables such as trade shocks, racial and socioeconomic composition, and immigration (Colantone and Stanig 2018; Franko 2016; Hopkins 2010; Oliver and Mendelberg 2000). We should therefore expect that awareness of inequality at both the regional and constituency levels affects political attitudes and electoral behavior. In this article, I use measures of inequality at the regional and constituency level because comparative measures of regional inequality are limited by data constraints. Additionally, these two boundaries

2. In multiparty systems, I assume that coalition formations are driven by ideological proximity. However, parties may also form strategic, non-ideological alliances through vote-trading (e.g., in mixed-member majoritarian [MMM] systems), where core supporters of a larger party vote for a small allied party to maximize votes and seats (Catalinac and Motolinia 2021). The larger party need only cater to its own and its ally's supporters, making swing voters potentially less relevant for electoral gains. Still, these dynamics should not make left-wing parties' platforms more redistributive because voters in most districts are not exposed to inequality and, therefore, do not demand more redistribution.

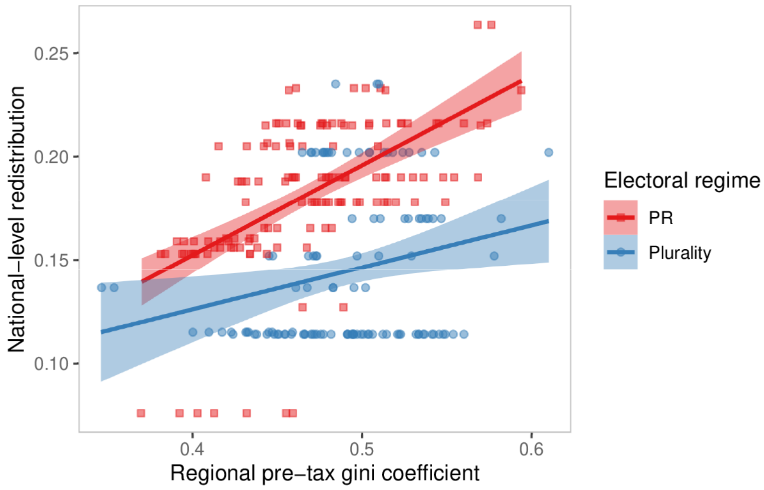

Figure 1. Spatial concentration of inequality and redistribution across electoral regime. Data from 252 regions across 25 OECD countries

demonstrate that local context across different scales matters for political attitudes and behavior.

CROSS-NATIONAL VARIATION IN SPATIAL INEQUALITY AND REDISTRIBUTION

I begin with a cross-national perspective on how the relationship between spatial inequality and redistribution varies across countries with different electoral regimes. I analyze data from the OECD Regional Wellbeing Database, which contains information on regional pretax Gini coefficients measured at the first tier of subnational government level and offers the most comprehensive cross-national data on regional income distributions available. The Gini index ranges from 0 (perfect equality) to 1 (perfect inequality). The outcome of interest is the extent of a country's level of national redistribution, measured as the difference between pre- and posttax Gini coefficients obtained from the OECD Income Distribution Database. The main independent variable is the spatial concentration of pretax inequality, which I measure with the regional pretax Gini coefficients.

I use the classification of electoral regimes developed by the International Institute for Democracy and Electoral Assistance to create a binary indicator of PR or plurality/majoritarian rule. I code the electoral rules of Germany, Hungary, Japan, and New Zealand, which the International Institute for Democracy and Electoral Assistance classifies as "mixed" as follows: I classify Germany as well as New Zealand (since 1994) as PR, and I code Hungary and Japan as plurality rule countries.[3] Excluding countries with data for only one region, the final data set contains 252 regions in 25 countries; seven countries with a total of 116 regions have plurality electoral rules. Table A.1 presents details on regions covered and summary statistics.

Figure 1 illustrates the correlation between the spatial distribution of pretax inequality as measured by regional Gini coefficients and nationwide redistribution across plurality and PR electoral regimes. Countries with a PR electoral system redistribute more on average (mean 0.18) than countries with plurality rule (mean 0.14), a difference of 0.9 SD; they also redistribute more in light of spatially concentrated inequality than plurality rule countries.

To account for potential confounders, I formally estimate the effect of electoral rules on redistributive outcomes when pretax inequality is spatially concentrated in a regression framework:

$$\begin{aligned} Y_i = {} & \beta_1 \mathrm{Gini}^{\mathrm{pre}}_{r[i]} + \beta_2 E_i + \beta_3 (\mathrm{Gini}^{\mathrm{pre}}_{r[i]} \cdot E_i) \\ & + \mathbf{X}_i \gamma + \mathbf{Z}_{r[i]} \lambda + \alpha_i + \varepsilon_i, \end{aligned} \tag{1}$$

where Y_i is fiscal redistribution in country i, measured as the difference in the national pre- and posttax Gini coefficients; $\mathrm{Gini}^{\mathrm{pre}}_{r[i]}$ is the measure of regional pretax inequality in region r of country i; E_i is a binary indicator that is coded 1 for plurality rule and 0 for PR electoral regimes; and $\mathbf{X}_i$ is a matrix of the country-level covariates. I include GDP and the unemployment rate to account for macroeconomic conditions that can influence inequality and the demand for social policies. Since unions can influence pretax inequality through wage compression and union wages (Huber and Stephens 2001), I control for trade union density. I also account for whether a country is a member of the European Union, to capture supranational regional transfers. To rule out the possibility that

3. Germany combines a first-past-the-post system for 299 members with a list PR for the remaining seats to adjust the overall seat distribution proportionately. Hungary uses an MMM electoral system with more than half of candidates elected in single-member districts using a first-past-the-post system. In Japan's MMM system, 300 of the 480 seats are elected in single-member election districts; the remaining 180 members are elected through PR.

countries with a higher probability of electing left-leaning governments (Iversen and Soskice 2006) and forming coalition governments (Persson et al. 2007) are driving the link between electoral rules and redistribution, I control for the share of cabinet seats held by leftist parties and whether the government is a coalition government. I further include a set of indicators that captures veto points and gridlock, either of which could make it harder for left-leaning parties to overcome opposition to redistribution, including indicators for weak and strong federalism, presidentialism, and bicameralism. Variable $\mathbf{Z}_{r[i]}$ is a matrix of three regional-level covariates. I include the regional unemployment rate and the regional share of labor force with at least secondary education to capture local economic conditions. I also control for regional turnout in general elections to account for income bias in voting—in particular low turnout among the poor, which could undermine the link between inequality and redistribution (Gilens 2012). The idiosyncratic error term is ϵ_{it}. Standard errors are clustered at the country level to account for spatial correlation of regions within countries. Table A.2 provides summary statistics and data sources.

The results, reported in table 1, demonstrate that the spatial concentration of inequality is associated with considerably less redistribution in countries with plurality rule than in those with PR electoral systems. The results are robust to controlling for political covariates (col. 2) and regional covariates (col. 3). A potential concern with this cross-sectional model is that electoral rules are endogenous to inequality and redistribution because, for example, the choice of the electoral regime reflects partisan bargains between left and right parties over constitutional design (Boix 1999; Rodden 2019). I address this concern by estimating a two-stage least squares (2SLS) model in which I instrument electoral rules with the year when a country introduced the current electoral regime. This instrument leverages historical waves in the design of electoral rules and relies on the notion that older constitutions and electoral regimes tend to be majoritarian, whereas more recent constitutions and constitutional electoral changes are more likely to adopt PR electoral rule. Appendix section A.2 provides full details on the instrumental variable approach and the exclusion restriction. Column 4 in table 1 presents the 2SLS results, confirming the substantive findings from the ordinary least squares (OLS) regressions. Figure 2 plots the interaction effect, which shows that greater spatial concentration of inequality is associated with less redistribution under plurality

Table 1. Effect of Spatial Inequality on Redistribution by Electoral Regime

	OLS			2SLS	OLS	2SLS
	(1)	(2)	(3)	(4)	(5)	(6)
Plurality rule	.191***	.190***	.218***	.193***	.226***	.229**
	(.015)	(.016)	(.017)	(.073)	(.022)	(.090)
Pretax Gini	.389***	.350***	.464***	.714***	.497***	.982***
	(.028)	(.029)	(.028)	(.091)	(.045)	(.125)
Plurality rule × pretax Gini	−.393***	−.402***	−.470***	−.620***	−.502***	−.772***
	(.033)	(.035)	(.036)	(.143)	(.048)	(.172)
Mean DV	.165	.165	.165	.165	.164	.164
No. countries	25	25	25	25	22	22
Macroeconomic covariates	✓	✓	✓	✓	✓	✓
Political covariates	. . .	✓	✓	✓	✓	✓
Regional covariates	. . .	. . .	✓	✓	✓	✓
F-statistic	. . .	. . .	. . .	12.11	. . .	10.65
Wu-Hausman	. . .	. . .	. . .	31.22	. . .	50.08
Observations	252	252	252	252	246	246
R^2	.798	.830	.849	.533	.860	.406
Adjusted R^2	.792	.821	.838	.501	.850	.364

Note. Dependent variable (DV): national redistribution. All models are based on eq. (1). The Gini index measures regional inequality within countries. National redistribution is the difference in pre- and posttax Ginis. Bootstrapped standard errors are clustered at the country level and reported in parentheses. The 2SLS regressions (cols. 4 and 6) instrument plurality rule with the year a country adopted its current electoral regime. The regressions in cols. 5 and 6 estimate the models without Ireland, New Zealand, and Slovenia. Full results in table A.5.

* $p < .1$.

** $p < .05$.

*** $p < .01$.

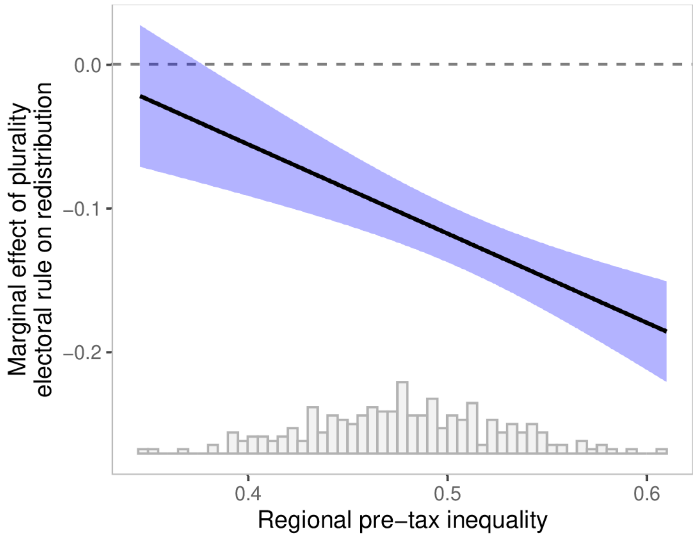

Figure 2. Marginal effect of plurality rule on redistribution by spatial concentration of inequality. Regression coefficients with 95% confidence bands based on column 4 in table 1.

rule. The models in columns 5 and 6 show results from regression models without Ireland, New Zealand, and Slovenia—the three countries for which data only include two regions—to alleviate concerns that the results are skewed by measures of regional inequality based on very few regions. The results remain substantively similar.

To investigate why the spatial concentration of inequality undermines redistribution in countries with plurality rule but not those with PR regimes, I focus on a country with plurality election rules in the next section. I examine how the interaction of political geography and the distribution of inequality in the United Kingdom influences voters' demands for redistribution and electoral support for left-wing parties and shapes the political logic of redistribution.

THE GEOGRAPHY OF INEQUALITY AND REDISTRIBUTIVE PREFERENCES IN BRITAIN

The United Kingdom is an ideal case for studying why rising inequality has not led to more redistribution. Income inequality has grown considerably in the country over the past few decades. By the end of 2020, the income of the richest 20% was six times higher than that of the poorest 20% (ONS 2020b). But nationwide inequality statistics mask considerable regional variation, as I show below, which has important implications for redistributive politics under plurality rule.

I begin this section by documenting changes in (and spatial concentration of) levels of inequality across the United Kingdom. I then draw on individual-level survey data to show how spatially concentrated inequality influences voters' demands for redistribution and electoral support for left-wing parties. Finally, I analyze the outcomes of all four general elections held in the 2010s to document that the spatial concentration of inequality, redistributive preferences, and votes for the Labour Party limit the extent to which preferences and votes are translated into political power.

Spatial distribution of income inequality

How is inequality distributed within the United Kingdom? I measure regional variation in income inequality by collecting administrative data on annual mean and median total income by parliamentary constituency from HM Revenue and Customs' national statistics on income and taxes. These data are based on the Survey of Personal Incomes, which covers all individuals who are liable for income tax; it is available for 2011–19. I then follow the Meltzer-Richard framework and calculate constituency-level inequality as the difference between mean and median total income.

To contextualize the spatial distribution of income inequality and assess its concentration in urban centers of the knowledge economy, I use constituency population density based on Office of National Statistics data.[4] Figure 3*A* displays changes in income inequality for the United Kingdom as a whole and for the median constituency. The nationwide interpersonal income distribution became considerably more unequal during the early 2010s and stabilized slightly later that decade. In 2019, the average total income in the United Kingdom was £10,400 higher than the nationwide median, an increase of 32% compared to 2011—which is one-third of the average UK household income (£29,900 in 2019; ONS 2020a). Median inequality across constituencies, however, has increased

4. Where population density is not available, I calculate it by dividing the constituency population by the constituency's surface area. Constituencies remained unchanged during this period.

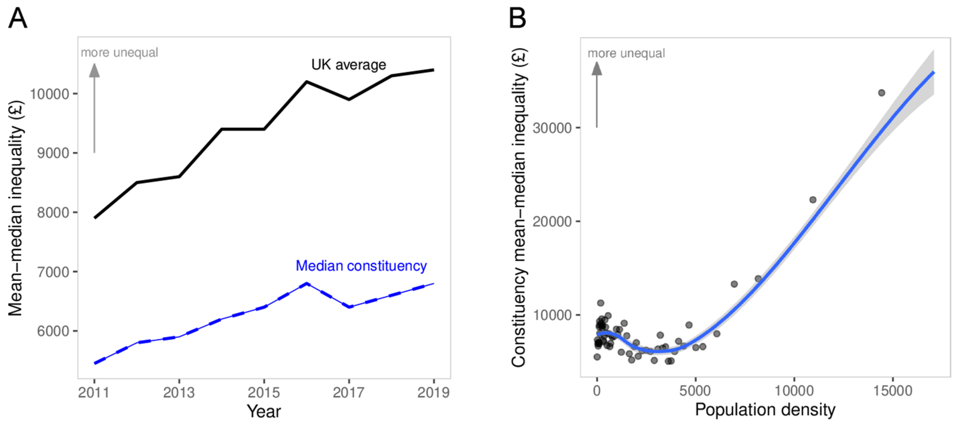

Figure 3. Spatial dimension of income inequality in the United Kingdom: *A*, by UK average and median constituency; *B*, by population density. Inequality is measured as the difference between mean and median income. Data for all 650 UK constituencies. *B*, binscatter plot with a loess-smoothed regression line fitted to the full data for 2011–19.

by only 25% during the same period. In 2019, inequality in the median constituency was £3,600 lower than in the nation overall, highlighting the importance of disentangling interpersonal from interregional inequality.

The binscatter plot in figure 3*B* divides all 650 constituencies in 60 equally sized bins and shows that inequality increases sharply with population density. Densely populated urban constituencies are much more unequal than sparsely populated rural areas. These geographic patterns are also visible in figure 4, which maps inequality across constituencies in the United Kingdom and for the 73 constituencies of Greater London in 2019. Nine of the country's 10 most unequal constituencies are in London (the exception is Esher and Walton); Kensington leads with a mean total income that is £125,900 higher than the constituency median. The most equal constituency is Blackpool North and Cleveleys in Lancashire in the northwest of England. Table B.1 ranks the 10 most unequal and equal constituencies in 2019. These findings illustrate that inequality in the median constituency is considerably lower than in the nation as a whole and that it is concentrated in densely populated constituencies in large cities—particularly the Greater London area.

Spatial distribution of preferences

How does the spatial distribution of inequality influence political preferences and support for redistributive policies? I argued above that individuals who live in localities with high levels of inequality should demand more redistribution than those who reside in more equal localities. To test this argument, I combine the previously constructed measures of constituency-level income inequality, population density, and urban-rural classifications with individual-level survey data from several waves of the BES to estimate the contextual effect of local-level inequality on voters' support for redistribution. The BES is an ideal data source because it contains respondents' constituencies and a large enough sample (about 30,000 respondents per wave) to estimate redistributive preferences. In waves 1–4, 6–7, and 10–20 (2014–20), the BES asked respondents the following question about redistribution: "Some people feel that government should make much greater efforts to make people's incomes more equal. Other people feel that government should be much less concerned about how equal people's incomes are. Where would you place yourself on this scale?" Answers ranged on an 11-point scale from "Government should try to make incomes equal" to "Government should be less concerned about equal incomes." I normalize respondents' answers to range between 0 and 1. Higher values indicate more support for redistribution and income equality. To ensure reliable estimates, I exclude constituency-years with fewer than 50 respondents.[5] The average number of respondents per constituency is 139 (SD = 83). The results are similar if the full data are used. Appendix section B.3 reports summary statistics.

Constituency inequality and support for redistribution

I estimate the following regression model to assess how constituency-level inequality shapes voters' redistributive preferences:

$$Y_{it[c]} = \beta_1 \text{Ineq}_{ct} + \mathbf{X}_{it}\gamma + \mathbf{Z}_{ct}\lambda + \alpha_c + \delta_t + \varepsilon_{it}, \quad (2)$$

where Y_{it} denotes the level of support for redistribution displayed by individual i in constituency c at time t; Ineq_{ct} is the constituency-level mean-median inequality in log GBP to account for right skew. I add several individual- and constituency-level covariates that could confound the relationship between inequality and redistributive preferences. Variable $\mathbf{X}_{it}$ is a matrix

5. Table B.9 reports the results of regression models using the full sample including constituencies with 50 respondents or less.

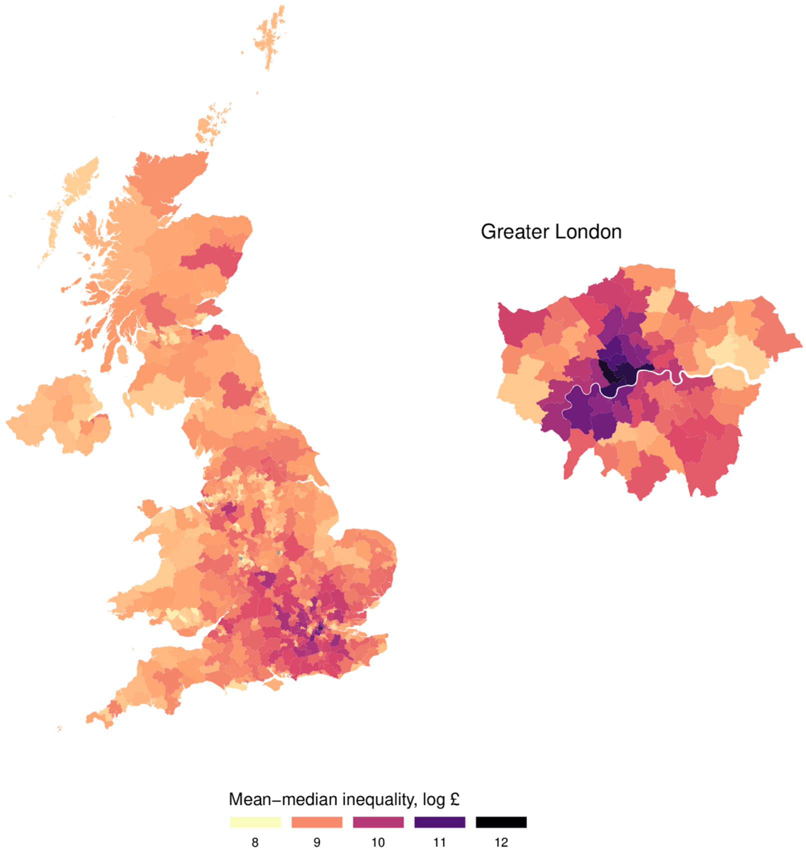

Figure 4. Spatial distribution of inequality across UK constituencies, 2019. Inequality is measured as the log difference between mean and median total income. Higher values indicate more inequality.

of individual-level covariates, including age, number of children in the household, gender, employment status, and home ownership. I also control for gross household income and education (six education categories) to account for the fact that high-income and highly educated people are more likely to hold cosmopolitan and socially liberal values and to live in urban areas (Maxwell 2019). Variable $\mathbf{Z}_{ct}$ is a matrix of constituency-level covariates, including median property price (log), total mean income (log), the share of the population with a degree, and the share of the population that works in the service sector. Since ethnic and racial diversity is higher in urban areas and can influence demand for redistribution (Alt and Iversen 2017; Morgan and Kelly 2017), I further control for the constituency share of nonwhite residents, which I calculate using respondents' ethnicity in the BES data. Finally, I account for the fact that a place's political ideology may influence redistribute preferences, by controlling for constituency-level vote share for the Labour Party.[6] Constituency fixed effects (α_c) capture all time-invariant constituency characteristics, ensuring within-constituency comparisons in response to a given level of inequality. Year fixed effects (δ_t) address common time shocks. Robust standard errors are clustered at the constituency level.

Table 2 shows that an increase in constituency mean-median inequality is associated with more support for redistribution. These results take into account individual-level characteristics (col. 1) and are robust to adding constituency-level covariates (col. 2) that could influence redistributive preferences, such as income and housing wealth, ethnicity, or political ideology. To assess how important local-level inequality is compared to the nationwide inequality, I add UK-wide inequality to the model in column 3. Since this variable is the same for each respondent in a given year, I replace the year fixed effects with a linear time trend. Local inequality still matters for respondents' redistributive demands, while nationwide inequality has no effect (table B.8). In appendix section B.6, I show that these results are robust to measuring local inequality at the smaller level of middle-layer super output areas.

My argument suggests that the spatial concentration of inequality undermines redistributive policies because voters who favor redistribution and support left-wing parties are concentrated in a small number of constituencies, which reduces the overall number of parliamentary seats a proredistribution political coalition can obtain. One observable implication of this

6. I assign the constituency vote share of the prior election for survey years without an election.

Table 2. Effect of Constituency-Level Inequality on Support for Redistribution

	(1)	(2)	(3)	(4)
Constituency inequality (log)	.029***	.020**	.024**	−.011
	(.009)	(.010)	(.010)	(.010)
Vote for Labour				−.149***
				(.045)
Vote for Tories				−.176***
				(.047)
Constituency inequality (log) × vote for Labour				.029***
				(.005)
Constituency inequality (log) × vote for Tories				−.002
				(.005)
Mean DV	.561	.559	.559	.557
Constituency fixed effects	✓	✓	✓	✓
Year fixed effects	✓	✓	. . .	✓
Year trend	. . .	. . .	✓	. . .
Individual covariates	✓	✓	✓	✓
Constituency covariates	. . .	✓	✓	✓
UK-wide inequality	. . .	. . .	✓	. . .
Observations	266,011	247,065	247,065	217,111
R^2	.092	.092	.092	.237
Adjusted R^2	.090	.089	.089	.234

Note. Dependent variable (DV): support for redistribution. All models are based on eq. (2). Voting for other parties is the omitted baseline. Full results in table B.8.
* $p < .1$.
** $p < .05$.
*** $p < .01$.

argument is that higher levels of inequality should lead to stronger demands for redistribution among left-leaning voters than among right-leaning voters. I test this hypothesis by interacting my inequality measure with an indicator of individuals' vote choice to test whether partisanship mediates how exposure to local inequality shapes redistributive preferences. In election years, respondents to the BES were asked which party they would vote for (preelection waves) or did vote for (postelection waves). In off-election years, they were asked "If there were a UK General Election tomorrow, which party would you vote for?" Focusing on the two main parties, I define a party vote choice variable that indicates whether the respondents voted for Labour, the Tories, or a third party, which is the omitted baseline. The results, displayed in column 4 in table 2 and figure 5, show that higher levels of inequality lead to more support for redistribution among Labour but not Tory voters, relative to those voting for third parties. A 50% increase in local inequality strengthens the demand for redistribution among Labour voters by 0.26 standard deviations but leaves Tory voters' preferences virtually unchanged. Labour supporters in above-median constituencies are on average more educated, richer, and less likely to be home owners and married compared to Labour supporters living in below-median constituencies (table B.7).

These findings indicate that Labour supporters are the driving force behind the growing demand for redistribution in unequal constituencies. As voters form preferences in response to their local economic context, the spatial clustering of inequality concentrates and limits voters' demand for redistribution and support for left-wing parties to a few high-inequality constituencies. In appendix section C, I further document that regional inequality shapes support for redistribution across a wider set of countries using data from the European Social Survey. In the next section, I show that these dynamics undermine the political logic of redistributive politics and the political power of left-wing, proredistribution coalitions when legislators are elected under plurality rule.

IMPLICATIONS FOR POLITICAL POWER AND LEFT POLITICAL COALITIONS

So far, I have documented that spatially concentrated inequality undermines the political logic of redistribution under plurality rule by concentrating and limiting demand for redistribution and electoral support for left-wing parties to a few densely populated urban constituencies. I now examine the 2010, 2015, 2017, and 2019 UK general elections to evaluate the electoral consequences of these dynamics and to show how

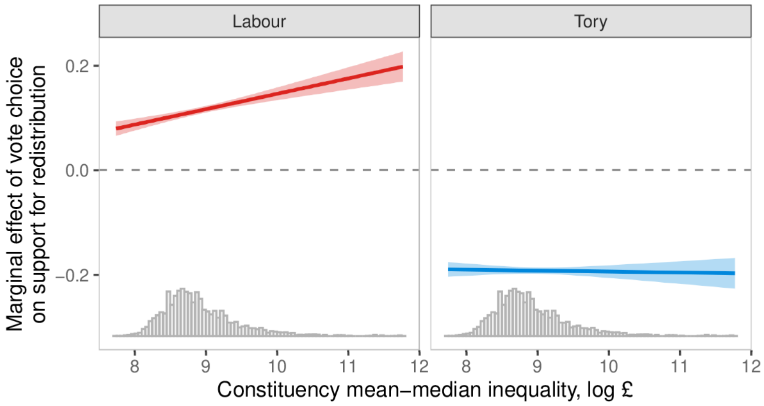

Figure 5. Marginal effects of constituency inequality on redistributive preferences, by party vote choice. Regression coefficients with 95% confidence bands based on column 4 in table 2.

economic and political geography constrains the political power of left-wing parties.[7] I focus on constituencies in England and Wales to assess the electoral competition between the United Kingdom's two main parties and combine constituency-level election outcomes, obtained from the House of Commons Library, with my previously constructed mean-median inequality measure. Since inequality data are only available since 2011, I use the 2011 inequality data as a reasonable approximation of inequality levels relevant for the 2010 election.

Figures 3*B* and B.3b document that densely populated urban constituencies are more unequal and more proredistribution and left leaning. To determine the extent to which population density shapes the electoral landscape, I merge constituency-level electoral results with previously constructed population density data. Figure 6 shows the election results and seats won for all 573 constituencies in England and Wales, arranged by mean-median inequality and vote margin for the two major parties—Conservative and Labour—for the 2010, 2015, 2017, and 2019 general elections. The size of each circle is proportional to the constituency's population density and coded according to the party that won the seat. The dashed horizontal line is the log median inequality in a given election year, dividing the electoral space into constituencies with above- and below-median inequality. Two facts stand out. First, the Labour Party has won considerably fewer constituencies with above-median inequality than the Tories. Second, and perhaps more importantly, Labour-leaning constituencies with above-median levels of inequality (upper-right quadrants) have a much higher population density than Tory-leaning constituencies with above-median inequality (upper-left quadrants). Across all elections, the population density of constituencies with above-median inequality and a positive Labour vote share is, on average, 5.3 times higher than similarly unequal but conservative-leaning constituencies.

Table 3 details how the Conservatives and the Labour Party fared in each election in constituencies above and below that year's median level of inequality. For each party, I report the number of constituencies won and the average population density. In the December 2019 general election, the Conservative Party led by Boris Johnson won 43.6% of the popular vote and gained a landslide majority of 80 seats. The Labour Party under Jeremy Corbyn won 32.1% of the popular vote and 201 seats in that election. The Tories won 207 of the 287 above-median-inequality constituencies' seats, while the Labour Party won only 71.[8] All high-inequality constituencies won by Labour had a 5.7 times higher population density than those won by the Tories. While the average vote margin in those constituencies in 2019 was 4.4 percentage points higher in Tory than in Labour constituencies, four of the five constituencies that were won by a margin of more than 60% went to the Labour Party.[9] These patterns between Labour and the Conservatives are much less pronounced among below-median-inequality constituencies. In the 2019 election, Labour won 130 constituencies with a 2.1 times higher population density than the 152 constituencies won by the Tories. These differences hold across all four elections in the 2010s. In 2017—the post-Brexit snap election after parliament was dissolved in April—Labour

7. Partisan interference through redistricting that would influence spatial inequality and district boundaries is unlikely because redistricting in the United Kingdom is conducted through periodic reviews by independent, nonpartisan boundary commission panels based on census data to meet legally defined criteria.

8. Seven of the remaining seats went to the Liberal Democrats, one to the Green Party, and one to the Speaker of the House.

9. Liverpool Riverside (70.2%), Walthamstow (63.9%), Hackney South and Shoreditch (62.4%), and Bethnal Green and Bow (62%) went to the Labour Party. Castle Point (60.1%) went to the Tories.

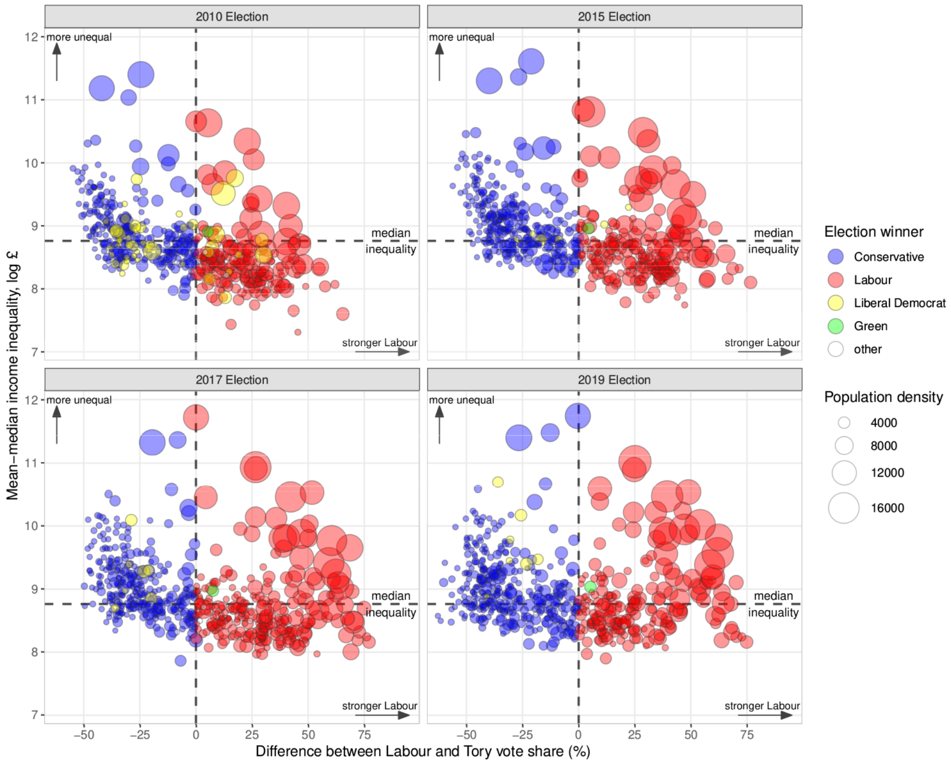

Figure 6. Income inequality, partisan leaning, and seats won in English and Welsh constituencies, 2010–19 general elections. Each circle represents one of 573 constituencies in England and Wales. The size of the circle is proportional to population density. Constituency inequality is measured as the difference between mean and median total income. “Other” parties include the UK Independence Party, Plaid Cymru, and the constituency of the Speaker of the House of Commons.

won the most seats out of all four elections (255) but only 60 in high-inequality constituencies. Yet this election, like the others, was electorally costly because Labour won with high vote margins and predominately in constituencies with considerably higher population densities. Labour secured a total of 14 above-median-inequality constituencies in all four elections by a margin of more than 60%; the Tories won only one constituency by such a margin.

The upshot is that more densely populated urban constituencies with high levels of inequality and strong support for the Labour Party are electorally underrepresented. The spatial concentration of inequality—and, as a result, the clustering of demand for redistribution and electoral support for Labour—undermines the political power of left-wing parties under plurality rule and makes it difficult to enact redistributive policies. Throughout the 2010s, Labour won less than a third of all seats in above-median-inequality constituencies even though it represented constituencies with nearly six times the population density of those with above-median inequality won by the Tories. And since Tory supporters are largely unresponsive to higher levels of local inequality (see fig. 5), the demand for redistribution is overall lower even in highly unequal Tory constituencies.

COMPARATIVE PARTY STRATEGIES: EVIDENCE FROM PARTY MANIFESTOS

When spatially clustered inequality meets plurality districts, support for redistribution and voting for leftist parties is concentrated in a few constituencies. This limits the translation of preferences and votes into political power and therefore undermines political responses to inequality. In this section, I examine the extent to which these dynamics—in particular the lack of redistribution in response to growing spatial inequality—can be attributed to voters’ demands for redistribution and support for left-wing parties versus differences in the extent of redistributive policies of left-leaning parties’ platforms across different electoral regimes.

Party manifestos are strategic documents written by party elites to communicate policy priorities and issue salience. Since parties compete for the median voter in the median district under plurality rule, they carefully calibrate their manifestos to balance the interests of their core partisan constituents with those of potential swing voters in median districts. Left-wing parties that move away from the center risk losing seats to third-party competitors such as liberal parties (Rodden 2019). We should therefore expect left-wing parties in plurality rule countries to hold more centrist positions and to be less likely to

Table 3. Constituencies Won and Population Density by Income Inequality by General Election

	General Election							
	2010		2015		2017		2019	
Constituency Inequality	Tory	Labour	Tory	Labour	Tory	Labour	Tory	Labour
Above median:								
Constituencies won	212	48	229	60	204	75	207	71
Average population density	1,146	5,915	1,124	6,445	991	5,750	1,038	6,400
Below median:								
Constituencies won	92	169	101	171	100	180	152	130
Average population density	1,250	2,640	1,469	2,737	1,255	2,851	1,325	3,220

Note. Inequality is measured as the mean-median total income difference. Constituencies where the difference between Labour and Tory vote share is larger than zero are classified as Labour leaning (and vice versa for Tories). Data for 573 constituencies in England and Wales won by either the Conservative Party or the Labour Party. Population density is measured as people/km^2.

adopt proredistributive platforms when inequality is high, compared to left-wing parties in PR countries.

I evaluate data on party manifestos to examine whether electoral rules shape parties' redistributive policy positions under inequality. Manifestos offer focal points for electoral campaigns and, to varying degrees, commit politicians to specific policy positions. This makes them useful documents to extract comparative policy positions. I draw on data from the Comparative Manifesto Project, which derives parties' policy positions by analyzing the content of their electoral manifestos. These data offer the most appropriate measure of my dependent variable for the largest number of countries and time periods. I use the "welfare" dimension to measure parties' policy stance on social policy and redistribution. This metric combines a "positive equality" dimension, which includes topics related to social justice and the fair treatment of people and distribution of resources, and a "welfare state expansion" dimension, which includes favorable mentions of the need to introduce, maintain, or expand public social services or social security schemes. The welfare dimension measure ranges from 0 to 50 (SD = 7.9); higher values indicate stronger prowelfare positions. For details, see appendix section E.1.

To what extent do electoral rules influence left-wing parties' redistributive policy positions under inequality? I use the Comparative Manifesto Project classification of party families to code ecological parties, social democratic parties, and socialist or other left parties as "left wing." I use the same electoral regime coding as before, except that in this longer time series Hungary is coded as plurality rule since 2012 and Italy is coded as PR between 1993 and 2004. To measure regional inequality, I collect data on regional incomes for countries of the European Union on disposable income of private households at the level of Nomenclature of Territorial Units for Statistics (NUTS) 2 regions. This is the lowest regional level for which these data are available. For the United Kingdom, I use data on gross disposable household income at equivalent International Territorial Level (ITL) 2 regions. In the United States, I draw on county-level data on regional personal incomes. Appendix section D.1 provides details on measures and data sources. The US data are a close approximation of regional income data at NUTS 2 units in Europe, but they do not match the European data perfectly. This drawback is alleviated by the use of country fixed effects in the regression models below, which rely on within-country variations to estimate the effect of regional inequality on party positions. I measure regional inequality as the standard deviation of regional incomes within a country. Higher values indicate that income inequality is concentrated in a few regions, whereas lower values reflect a more equal distribution of regional income inequality. I then calculate the annual percentage change in regional inequality.[10] The final data set contains 25 countries for the 2000–2018 period, with 293 unique party-election-year observations.

I focus on left-wing parties to examine how much their policy stances vary across electoral regimes as regional inequality changes in the following model:

$$Y_{it} = \beta_1 I_{it}^{\text{chg}} + \beta_2 E_{it} + \beta_3 (I_{it}^{\text{chg}} \cdot E_{it}) + \mathbf{X}_{it}\gamma + \alpha_c + \delta_t + \varepsilon_{it}, \tag{3}$$

where Y_{it} denotes party i's position on welfare in election year t, I_{it}^{chg} is the year-to-year percentage change in regional

10. Figures D.1 and D.2 show cross-country changes in regional inequality over time.

Table 4. Effect of Regional Inequality on Left Party Welfare Position by Electoral Regime

	(1)	(2)	(3)	(4)
Plurality rule	−.02	−.06	−.08*	−.02
	(.04)	(.05)	(.04)	(.07)
Change in regional inequality	.34***	.32***	.34***	.33***
	(.11)	(.11)	(.11)	(.11)
Plurality rule × change in regional inequality	−.40**	−.46**	−.43**	−.31
	(.17)	(.19)	(.19)	(.26)
Mean DV	.38	.38	.38	.38
Country fixed effects	✓	✓	✓	✓
Election year fixed effects	✓	✓	✓	✓
Party fixed effects	. . .	. . .	. . .	✓
Economic covariates	. . .	✓	✓	✓
Political covariates	. . .	. . .	✓	✓
R^2	.43	.44	.45	.69
Adjusted R^2	.33	.33	.33	.41

Note. Dependent variable (DV): welfare position. All models are based on eq. (3). Full results in table E.2. $N = 293$.
* $p < .1$.
** $p < .05$.
*** $p < .01$.

inequality in country i, E_{it} is a binary indicator of whether a country has plurality electoral rules, and $\mathbf{X}_{it}$ is a matrix of time-varying country-level covariates that can influence parties' policy stances and issue positions such as party vote and seat shares as well as turnout. Larger parties with more electoral influence are more likely to offer more moderate ideological positions to appeal to a broader segment of the electorate (Ezrow 2008). I further control for GDP and the unemployment rate as baseline economic indicators that could influence the demand for and supply of social policies. Finally, I include an index of legislative fractionalization of the party system to account for the political system's degree of political fragmentation and institutional permissiveness, which could incentivize smaller parties to take extreme positions and increase the likelihood of coalition governments. Variables α_c and δ_t are country and election-year fixed effects, which control for time-invariant unobserved heterogeneity across countries as well as common time shocks. Robust standard errors are clustered at the country level. Summary statistics and data sources appear in appendix section E.2.

How much do left-wing parties' policy positions on welfare vary across electoral regimes as a function of inequality? Table 4 and figure 7 illustrate that left-wing parties respond to increases in regional inequality with a more proredistributive policy stance when elections are held under PR but do not change their welfare policy position under plurality rule. The results are

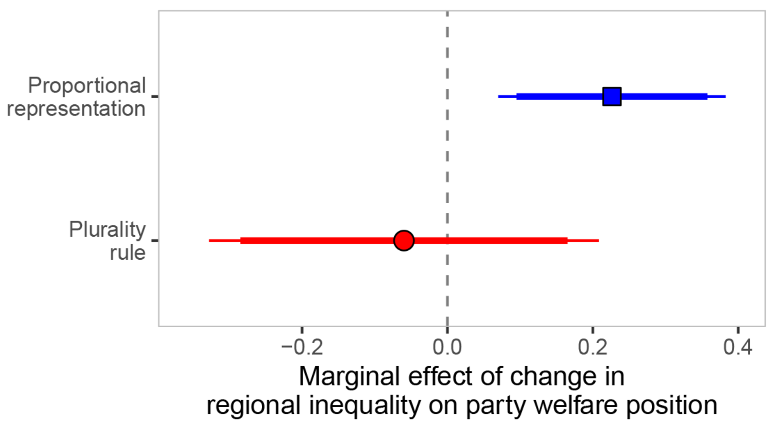

Figure 7. Marginal effects of regional inequality on left party welfare position by electoral regime. Regression coefficients with 90% and 95% confidence intervals based on column 3 in table 4. Higher values on the normalized welfare dimension indicate a more favorable position.

robust to controlling for economic covariates (col. 2) and party- and country-level political covariates (col. 3). Adding party fixed effects (col. 4) does not change the results. A 10 percentage point growth in regional inequality is associated with a 0.41 SD increase in left-wing parties' proredistributive policy stance under PR but no statistically significant change under plurality rule.

Together, the findings suggest that when elections are held under plurality rule, left-wing party platforms do not become more proredistribution when regional inequality is growing. Since inequality in most countries is spatially concentrated, as I have documented here, the median constituency is much less unequal than the nation as a whole. As a result, the median voter in the median constituency is less exposed to inequality and, therefore, less likely to demand redistribution and support left-wing parties, all else equal. Left-wing parties target the median voter in the median constituency and have few electoral incentives to deviate from the constituency median, not least because they may face competition from liberal parties in swing constituencies.

The geographic clustering of inequality undermines electoral gains because redistributive preferences and electoral support for left-wing parties are concentrated in (and limited to) a few urban and densely populated constituencies. The evidence presented here suggests that the spatial distribution of inequality and preferences not only constrains electoral support for left-wing parties and limits their political power but also incentivizes them to offer more moderate policy platforms to appeal to the median constituency and remain competitive against third-party challengers.

DISCUSSION AND CONCLUSION

This article has developed a new argument about the political consequences of rising spatial inequalities across and within countries. It argues that the interaction between electoral rules and the geographical distributions of inequality and political preferences undermines the political logic of redistribution. Using cross-sectional data on regional inequality, I show that countries with plurality rule redistribute less when inequality is spatially concentrated compared to countries with PR rule. I then draw on administrative and microlevel data from the United Kingdom to document that the spatial concentration of inequality makes the median constituency less unequal than the nation as a whole. These dynamics restrict and limit demands for redistribution and electoral support for left-wing parties to a few densely populated urban constituencies where inequality is concentrated. Evidence from comparative party manifestos shows that plurality rule also weakens left-wing parties' incentives to advocate proredistributive policy platforms, even when regionally concentrated inequality is rising. Together, these dynamics undermine the political power of left-wing coalitions. Across all four general elections in the United Kingdom in the 2010s, the Labour Party won considerably fewer constituencies with above-median levels of inequality than the Tories. However, Labour won these constituencies by a much higher vote margin and a 5.3 times higher population density than similarly unequal but conservative-leaning constituencies. These findings show that the local economic context affects political behavior and electoral dynamics and help explain why rising inequality has not resulted in more redistribution.

This article raises several implications for the future of redistributive policies under spatially concentrated inequality that merit further attention. From a policy perspective, one possibility would be for parties to design platforms that convince voters outside the big cities, particularly in suburban constituencies, to care about inequality and redistributive policies. For example, parties could mobilize around issues such as affordable housing and access to high-quality schooling, which could create a broader political coalition in favor of greater social equality. Another approach would be to shift attention from nationwide redistributive efforts to place-based policies that specifically aim to reduce inequality in cities. Examples include increasing locality-specific minimum wages to strengthen the earnings power of workers without college degrees, raising taxes on incomes and assets such as the property of high-income voters, or providing affordable housing and educational opportunities so that families can choose neighborhoods with good earnings opportunities relative to living costs. This might be more appealing to high-income and highly educated left-wing voters—particularly those residing in unequal urban areas—because this group is often less supportive of traditional redistributive policies and more interested in social investment policies such as education or child care.

Yet spatially concentrated inequality may create its own political externalities and backlashes. The rise of superstar cities and winner-take-all geographies in the knowledge economy increasingly displaces all but high-income voters, forcing them to move out of urban areas with rising living costs and growing inequality into suburbs and other areas with lower levels of inequality (Chou and Dancygier 2021; *Economist* 2017; Le Galès and Pierson 2019). If the influx of middle- and upper-middle-income voters increases inequality in such areas, it could strengthen the demand for redistribution and voting for left-wing parties. Current residents, who are exposed to more inequality, form preferences and vote on the basis of the changing local economic context, while newcomers from unequal areas already favor redistribution and vote for leftist parties. The economic displacement and resulting movement of voters could reshuffle the economic and political geography of inequality. The dynamics described in this article are likely to become more prevalent in the future. Many countries are shifting toward knowledge economies, which generates strong agglomeration effects and growing urban-rural divides. Political institutions, partisan strategies, and voters' behaviors will play a crucial role in mediating and mitigating policy responses to new spatial patterns of economic and political inequality.

ACKNOWLEDGMENTS

For very helpful comments and suggestions, I thank Pablo Beramendi, Mitchell Bosley, Costin Ciobanu, Dan Hopkins, Annabelle Hutchinson, Martin Vinæs Larsen, Noah Nathan, Tom O'Grady, Grigo Pop-Eleches, Jonathan Rodden, George Tsebelis, Alice Xu, as well as seminar participants at GRIPE, the CIREQ Workshop at McGill University, the University of Michigan, Princeton University, and the 2022 annual meetings of the European and American Political Science Associations, and the editor and anonymous reviewers.

REFERENCES

Alesina, Alberto, Stefanie Stantcheva, and Edoardo Teso. 2018. "Intergenerational Mobility and Preferences for Redistribution." *American Economic Review* 108 (2): 521–54.

Alt, James, and Torben Iversen. 2017. "Inequality, Labor Market Segmentation, and Preferences for Redistribution." *American Journal of Political Science* 61 (1): 21–36.

Ansell, Ben, and Jane Gingrich. 2021. "Concentration and Commodification: The Political Economy of Postindustrialism in America and Beyond." In Alexander Hertel-Fernandez, Jacob Hacker, Kathleen Thelen, and Paul Pierson, eds., *The American Political Economy: Politics, Markets, and Power*. Cambridge: Cambridge University Press, 375–406.

Ansolabehere, Stephen, William Leblanc, and James M. Snyder. 2012. "When Parties Are Not Teams: Party Positions in Single-Member District and Proportional Representation Systems." *Economic Theory* 49 (3): 521–47.

Beck, Paul Allen, Russell J. Dalton, Steven Greene, and Robert Huckfeldt. 2002. "The Social Calculus of Voting: Interpersonal, Media, and Organizational Influences on Presidential Choices." *American Political Science Review* 96 (1): 57–73.

Beramendi, Pablo. 2012. *The Political Geography of Inequality: Regions and Redistribution*. Cambridge: Cambridge University Press.

Besley, Timothy, and Ian Preston. 2007. "Electoral Bias and Policy Choice: Theory and Evidence." *Quarterly Journal of Economics* 122 (4): 1473–510.

Boix, Carles. 1999. "Setting the Rules of the Game: The Choice of Electoral Systems in Advanced Democracies." *American Political Science Review* 93 (3): 609–24.

Booth, Robert. 2017. "Kensington's First Labour MP Vows to Tackle Area's Inequality." *Guardian*, June 11.

Broz, J. Lawrence, Jeffry Frieden, and Stephen Weymouth. 2021. "Populism in Place: The Economic Geography of the Globalization Backlash." *International Organization* 75 (2): 464–94.

Catalinac, Amy, and Lucia Motolinia. 2021. "Geographically Targeted Spending in Mixed-Member Majoritarian Electoral Systems." *World Politics* 73 (4): 668–711.

Cavaillé, Charlotte, and Kris-Stella Trump. 2015. "The Two Facets of Social Policy Preferences." *Journal of Politics* 77 (1): 146–60.

Chang, Eric C. C. 2008. "Electoral Incentives and Budgetary Spending: Rethinking the Role of Political Institutions." *Journal of Politics* 70 (4): 1086–97.

Cho, Wendy K. Tam, and Thomas J. Rudolph. 2008. "Emanating Political Participation: Untangling the Spatial Structure Behind Participation." *British Journal of Political Science* 38 (2): 273–89.

Chou, Winston, and Rafaela Dancygier. 2021. "Why Parties Displace Their Voters: Gentrification, Coalitional Change, and the Demise of Public Housing." *American Political Science Review* 115 (2): 429–49.

Colantone, Italo, and Piero Stanig. 2018. "The Trade Origins of Economic Nationalism: Import Competition and Voting Behavior in Western Europe." *American Journal of Political Science* 62 (4): 936–53.

Cramer, Katherine J. 2016. *The Politics of Resentment: Rural Consciousness in Wisconsin and the Rise of Scott Walker*. Chicago: University of Chicago Press.

Cutler, Fred. 2007. "Context and Attitude Formation: Social Interaction, Default Information, or Local Interests?" *Political Geography* 26 (5): 575–600.

Döring, Holger, and Philip Manow. 2017. "Is Proportional Representation More Favourable to the Left? Electoral Rules and Their Impact on Elections, Parliaments and the Formation of Cabinets." *British Journal of Political Science* 47 (1): 149–64.

Ebeid, Michael, and Jonathan Rodden. 2006. "Economic Geography and Economic Voting: Evidence from the US States." *British Journal of Political Science* 36 (3): 527–47.

Economist. 2017. "Housing Is a Growing Political Problem for the Conservatives." *Economist*, August 5.

Elkjær, Mads Andreas, and Torben Iversen. 2020. "The Political Representation of Economic Interests: Subversion of Democracy or Middle-Class Supremacy?" *World Politics* 72 (2): 254–90.

Elsässer, Lea, Svenja Hense, and Armin Schäfer. 2021. "Not Just Money: Unequal Responsiveness in Egalitarian Democracies." *Journal of European Public Policy* 28 (12): 1890–908.

Enns, Peter K. 2015. "Relative Policy Support and Coincidental Representation." *Perspectives on Politics* 13 (4): 1053–64.

Enos, Ryan D. 2017. *The Space between Us: Social Geography and Politics*. Cambridge: Cambridge University Press.

Ezrow, Lawrence. 2008. "Parties' Policy Programmes and the Dog That Didn't Bark: No Evidence That Proportional Systems Promote Extreme Party Positioning." *British Journal of Political Science* 38 (3): 479–97.

Franko, William W. 2016. "Political Context, Government Redistribution, and the Public's Response to Growing Economic Inequality." *Journal of Politics* 78 (4): 957–73.

Gallego, Aina. 2015. *Unequal Political Participation Worldwide*. New York: Cambridge University Press.

Gallego, Aina, Franz Buscha, Patrick Sturgis, and Daniel Oberski. 2016. "Places and Preferences: A Longitudinal Analysis of Self-Selection and Contextual Effects." *British Journal of Political Science* 46 (3): 529–50.

Ganong, Peter, and Daniel Shoag. 2017. "Why Has Regional Income Convergence in the U.S. Declined?" *Journal of Urban Economics* 102:76–90.

Gilens, Martin. 2012. *Affluence and Influence: Economic Inequality and Political Power in America*. Princeton, NJ: Princeton University Press.

Gimpel, James G., Nathan Lovin, Bryant Moy, and Andrew Reeves. 2020. "The Urban-Rural Gulf in American Political Behavior." *Political Behavior* 42 (4): 1343–68.

Hopkins, Daniel J. 2010. "Politicized Places: Explaining Where and When Immigrants Provoke Local Opposition." *American Political Science Review* 104 (1): 40–60.

Huber, Evelyne, and John D. Stephens. 2001. *Development and Crisis of the Welfare State: Parties and Policies in Global Markets*. Chicago: University of Chicago Press.

Iversen, Torben, and David Soskice. 2006. "Electoral Institutions and the Politics of Coalitions: Why Some Democracies Redistribute More than Others." *American Political Science Review* 100 (2): 165–81.

Iversen, Torben, and David W. Soskice. 2019. *Democracy and Prosperity: Reinventing Capitalism through a Turbulent Century*. Princeton, NJ: Princeton University Press.

Johnston, Ron, Charles Pattie, Daniel Dorling, Iain MacAllister, Helena Tunstall, and David Rossiter. 2000. "Local Context, Retrospective Economic Evaluations, and Voting: The 1997 General Election in England and Wales." *Political Behavior* 22 (2): 121–43.

Jurado, Ignacio, and Sandra León. 2019. "Geography Matters: The Conditional Effect of Electoral Systems on Social Spending." *British Journal of Political Science* 49 (1): 81–103.

Jusko, Karen Long. 2017. *Who Speaks for the Poor? Electoral Geography, Party Entry, and Representation*. Cambridge: Cambridge University Press.

Kelly, Nathan J., and Peter K. Enns. 2010. "Inequality and the Dynamics of Public Opinion: The Self-Reinforcing Link between Economic Inequality and Mass Preferences." *American Journal of Political Science* 54 (4): 855–70.

Kenworthy, Lane, and Jonas Pontusson. 2005. "Rising Inequality and the Politics of Redistribution in Affluent Countries." *Perspectives on Politics* 3 (3): 449–71.

Koch, Insa, Mark Fransham, Sarah Cant, Jill Ebrey, Luna Glucksberg, and Mike Savage. 2021. "Social Polarisation at the Local Level: A Four-Town Comparative Study on the Challenges of Politicising Inequality in Britain." *Sociology* 55 (1): 3–29.

Kuziemko, Ilyana, Michael I. Norton, Emmanuel Saez, and Stefanie Stantcheva. 2015. "How Elastic Are Preferences for Redistribution? Evidence from Randomized Survey Experiments." *American Economic Review* 105 (4): 1478–508.

Le Galès, Patrick, and Paul Pierson. 2019. "'Superstar Cities' and the Generation of Durable Inequality." *Daedalus* 148 (3): 46–72.

Leighley, Jan E. 2013. *Who Votes Now? Demographics, Issues, Inequality, and Turnout in the United States*. Princeton, NJ: Princeton University Press.

Lindert, Peter H. 2004. *Growing Public: Social Spending and Economic Growth since the Eighteenth Century*. New York: Cambridge University Press.

Lupu, Noam, and Jonas Pontusson. 2011. "The Structure of Inequality and the Politics of Redistribution." *American Political Science Review* 105 (2): 316–36.

Maxwell, Rahsaan. 2019. "Cosmopolitan Immigration Attitudes in Large European Cities: Contextual or Compositional Effects?" *American Political Science Review* 113 (2): 456–74.

McCann, Philip. 2020. "Perceptions of Regional Inequality and the Geography of Discontent: Insights from the UK." *Regional Studies* 54 (2): 256–67.

McCarty, Nolan M., Keith T. Poole, and Howard Rosenthal. 2006. *Polarized America: The Dance of Ideology and Unequal Riches*. Cambridge, MA: MIT Press.

McKee, Seth C. 2008. "Rural Voters and the Polarization of American Presidential Elections." *PS: Political Science and Politics* 41 (1): 101–8.

Meltzer, Allen, and Scott Richard. 1981. "A Rational Theory of the Size of Government." *Journal of Political Economy* 89 (5): 914–27.

Minkoff, Scott L., and Jeffrey Lyons. 2019. "Living with Inequality: Neighborhood Income Diversity and Perceptions of the Income Gap." *American Politics Research* 47 (2): 329–61.

Moene, Karl Ove, and Michael Wallerstein. 2001. "Inequality, Social Insurance, and Redistribution." *American Political Science Review* 95 (4): 859–74.

Morel, Nathalie, Bruno Palier, and Joakim Palme. 2012. *Towards a Social Investment Welfare State? Ideas, Policies and Challenges*. Bristol: Policy.

Morgan, Jana, and Nathan J. Kelly. 2017. "Social Patterns of Inequality, Partisan Competition, and Latin American Support for Redistribution." *Journal of Politics* 79 (1): 193–209.

Newman, Benjamin J. 2020. "Inequality Growth and Economic Policy Liberalism: An Updated Test of a Classic Theory." *Journal of Politics* 82 (2): 765–70.

Newman, Benjamin J., Christopher D. Johnston, and Patrick L. Lown. 2015. "False Consciousness or Class Awareness? Local Income Inequality, Personal Economic Position, and Belief in American Meritocracy." *American Journal of Political Science* 59 (2): 326–40.

Newman, Benjamin J., Sono Shah, and Erinn Lauterbach. 2018. "Who Sees an Hourglass? Assessing Citizens' Perception of Local Economic Inequality." *Research and Politics* 5 (3).

O'Grady, Tom, and Andreas Wiedemann. 2024. "How the Geographic Clustering of Young and Highly Educated Voters Undermines Redistributive Politics." *Journal of Politics* (forthcoming).

Oliver, J. Eric, and Tali Mendelberg. 2000. "Reconsidering the Environmental Determinants of White Racial Attitudes." *American Journal of Political Science* 44 (3): 574–89.

ONS (Office of National Statistics). 2020a. "Average Household Income, UK: Financial Year Ending 2020." https://www.ons.gov.uk.

ONS (Office of National Statistics). 2020b. "Household Income Inequality, UK: Financial Year Ending 2020." https://www.ons.gov.uk.

Persson, Torsten, Gerard Roland, and Guido Tabellini. 2007. "Electoral Rules and Government Spending in Parliamentary Democracies." *Quarterly Journal of Political Science* 2 (2): 155–88.

Peters, Yvette, and Sander J. Ensink. 2015. "Differential Responsiveness in Europe: The Effects of Preference Difference and Electoral Participation." *West European Politics* 38 (3): 577–600.

Piketty, Thomas. 2014. *Capital in the Twenty-First Century*. Cambridge, MA: Belknap.

Reeves, Andrew, and James G. Gimpel. 2012. "Ecologies of Unease: Geographic Context and National Economic Evaluations." *Political Behavior* 34 (3): 507–34.

Rickard, Stephanie J. 2018. *Spending to Win: Political Institutions, Economic Geography, and Government Subsidies*. Cambridge: Cambridge University Press.

Rodden, Jonathan. 2010. "The Geographic Distribution of Political Preferences." *Annual Review of Political Science* 13 (1): 321–40.

Rodden, Jonathan. 2019. *Why Cities Lose: The Deep Roots of the Urban-Rural Political Divide*. New York: Basic.

Rodríguez-Pose, Andrés. 2018. "The Revenge of the Places That Don't Matter (and What to Do about It)." *Cambridge Journal of Regions, Economy and Society* 11 (1): 189–209.

Romer, Thomas. 1975. "Individual Welfare, Majority Voting, and the Properties of a Linear Income Tax." *Journal of Public Economics* 4 (2): 163–85.

Sands, Melissa L., and Daniel de Kadt. 2020. "Local Exposure to Inequality Raises Support of People of Low Wealth for Taxing the Wealthy." *Nature* 586 (7828): 257–61.

Schmidt-Catran, Alexander W. 2016. "Economic Inequality and Public Demand for Redistribution: Combining Cross-Sectional and Longitudinal Evidence." *Socio-Economic Review* 14 (1): 119–40.

Snyder, James M. 1994. "Safe Seats, Marginal Seats, and Party Platforms: The Logic of Platform Differentiation." *Economics and Politics* 6 (3): 201–13.

Tajfel, Henri, M. G. Billig, R. P. Bundy, and Claude Flament. 1971. "Social Categorization and Intergroup Behaviour." *European Journal of Social Psychology* 1 (2): 149–78.

Warshaw, Christopher, and Jonathan Rodden. 2012. "How Should We Measure District-Level Public Opinion on Individual Issues?" *Journal of Politics* 74 (1): 203–19.